Session 19: Deferred Taxes and Valuation Allowances I: Current Tax, Permanent and Temporary Differences (IAS12)

By the end of this session you must know why accounting profit and taxable profit diverge, the difference between permanent and temporary differences and why only the latter generate deferred tax, how to compute current tax, how to compute deferred tax using both the income-statement and balance-sheet approaches, and how to journalise the resulting deferred tax asset/liability.

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1. The Problem: Accounting Profit vs. Taxable Profit

- Accounting standards and tax rules are written with different objectives and are not identical, so accounting profit before tax can differ from taxable profit computed under the tax code.
- This raises the central question the session answers: how should the income tax expense reported in the income statement be calculated, given that it cannot simply be the statutory rate applied to accounting profit?

2. Basic Terminology and Categories of Tax

Financial-statement side: pre-tax profit is profit before taxes, determined under GAAP/IFRS. Tax expense is the tax reported in the income statement as an expense. The effective tax rate is tax expense ÷ pre-tax income.

Tax-return side: taxable profit is the amount used to compute income tax payable, determined under the tax code. Current tax expense is the tax payable/recoverable on the current year’s taxable profit or loss. The statutory tax rate is the rate set by tax law.

Tax expense = Current tax + Deferred tax

where: - **current tax** is the tax on the current period’s taxable profit, - **deferred tax** is the movement in deferred tax balances for the period, arising from temporary differences (Sections 4-7), - both are governed by IAS12.

3. Current Tax and Permanent Differences

Current tax: the amount of tax payable or recoverable on the taxable profit or loss of an accounting period. It is recognised as an expense in the income statement, and any unpaid amount is a current liability on the balance sheet. Accounting profit is the starting point for computing taxable profit, and therefore current tax.

Permanent differences (“differences in scope”): items that enter pre-tax accounting profit but never taxable profit (e.g. interest received on state/municipal bonds, fines and expenses from violating the law), or that enter taxable profit but never pre-tax accounting profit (e.g. dividends received from consolidated subsidiaries). Permanent differences affect only the period in which they occur, do not reverse, and therefore create **no** deferred tax asset or liability.

Current tax expense = Taxable profit × Statutory tax rate = (Pre-tax accounting profit − Permanent differences) × Statutory tax rate

where: - permanent differences are added back or deducted depending on their direction (disallowed expenses added back, non-taxable income deducted), exactly as in ordinary tax-return preparation.

Mandrigo Ltd: pre-tax accounting profit of €520,000 includes a €20,000 fine to tax authorities (a disallowed expense, added back) and €10,000 of interest received from government bonds (non-taxable, deducted). Taxable profit = 520,000 + 20,000 − 10,000 = €530,000. At a 20% corporation tax rate, current tax = 530,000 × 20% = €106,000.

4. Temporary Differences and Why They Create Deferred Tax

Temporary differences ("differences in timing"): differences between accounting profit and taxable profit arising because an accounting expense or revenue is recorded in a different period from the one used for tax purposes. Because a current temporary difference will produce an offsetting difference in a future period (when it reverses), it generates a deferred tax asset (a right to pay lower taxes later) or liability (an obligation to pay higher taxes later).

The lawn mower analogy: a mower has a fixed height setting matched to grass grown over exactly one week. Cut the grass on Sunday and the blade and grass height align perfectly. On Monday the grass is too short for the blade, and through the week a "temporary difference" exists between the grass's actual height and the blade's setting, but by the following Sunday the difference has disappeared again. Temporary tax differences behave the same way: they open up when accounting and tax timing diverge, and close again ("reverse") once both sides eventually recognise the same item.

Revaluation loss on land: a company records a downward revaluation loss on land in its financial statements, but tax authorities do not recognise a loss on land until it is actually sold. A temporary difference opens at revaluation (loss recorded for accounting, not yet tax-deductible) and closes only when the land is eventually sold (tax authorities then recognise the loss, the difference disappears). Deferred tax exists precisely to let the total tax charge be computed on an accrual basis consistent with the accounting profit, even though the tax authorities work on a different timetable.

5. Deferred Tax Assets vs. Liabilities: Which Direction?

Must know (when deferred tax assets and liabilities arise):
• **Deferred tax assets arise when:** revenues are taxed *before* they are recognised in accounting profit (e.g. subscriptions received in advance), or expenses/losses are recognised in accounting profit *before* being tax-deductible (e.g. warranty expenses, bad debt expenses estimated but not yet incurred), in both cases, taxable profit is currently **higher** than accounting profit, so in the future, when the difference reverses, taxable profit will be **lower** than accounting profit and lower taxes will be paid then, this future benefit is the deferred tax asset
• **Deferred tax liabilities arise when:** revenues are recognised in accounting profit *before* they are taxed (e.g. accrual-basis revenue recognition), or expenses/losses are tax-deductible *before* being recognised in accounting profit (e.g. prepaid rent, prepaid insurance deducted for tax immediately), taxable profit is currently **lower** than accounting profit, so in the future taxable profit will be **higher** and more tax will be paid then, this future obligation is the deferred tax liability

- Both types of balance decrease toward zero as the underlying temporary difference reverses.

Common sources of temporary differences:

- **Depreciation**: GAAP allows straight-line or another accepted method. Tax may disallow or only partially allow depreciation.
- **Bad debt expenses**: GAAP estimates future write-offs. Tax recognises only actual write-offs.
- **Warranty expenses**: GAAP estimates future payments. Tax recognises only actual payments.
- **Pension expenses**: GAAP uses actuarial estimates. Tax recognises only actual contributions/payments.
- **Investment income**: GAAP may recognise unrealised and realised gains. Tax recognises only realised gains.

6. Calculating Deferred Tax: The Income-Statement Approach

Deferred tax expense = Tax expense − Current tax expense = Timing differences × Statutory tax rate

where: - "tax expense" here means the statutory rate applied to accounting profit adjusted only for permanent differences (not temporary ones), - "current tax expense" is the statutory rate applied to fully-adjusted taxable profit (permanent *and* temporary differences accounted for).

Daisy Ltd (30 June, tax rate 30%): accounting profit before tax €100,000, including entertainment expenses of €2,000 (non-tax-deductible, permanent difference), vehicle depreciation of €17,000 (accounting) vs. €25,500 (tax, at the higher 15% tax rate vs. 10% accounting rate, a temporary difference), and rent revenue of €2,500 (accounting, accrual basis) vs. €3,000 rent received (tax, cash basis, a temporary difference).

Step 1, adjusted accounting profit (permanent differences only): 100,000 + 2,000 (entertainment add-back) = €102,000.
Step 2, taxable profit (permanent + temporary differences): starting from adjusted accounting profit 102,000, add back accounting depreciation (17,000) and rent received/taxable (3,000) = 122,000. Deduct rent revenue/accounting (2,500) and tax depreciation (25,500) = 94,000. Taxable profit = €94,000.
Step 3: tax expense = adjusted accounting profit × 30% = 102,000 × 30% = €30,600. Current tax expense = taxable profit × 30% = 94,000 × 30% = €28,200. Deferred tax expense = 30,600 − 28,200 = €2,400 (equivalently, the net timing difference of 8,000, being the 8,500 depreciation gap minus the 500 rent gap, times 30% = 2,400).

7. Calculating Deferred Tax: The Balance-Sheet Approach

Tax base: the amount attributed to an asset or liability for tax purposes.

Temporary difference = Carrying amount − Tax base
Deferred tax asset/liability = Temporary difference × Statutory tax rate

Must know (balance-sheet approach summary table):
- **Asset, carrying value > tax base:** taxable temporary difference → **deferred tax liability**
- **Asset, carrying value < tax base:** deductible temporary difference → **deferred tax asset**
- **Liability, carrying value < tax base:** taxable temporary difference → **deferred tax liability**
- **Liability, carrying value > tax base:** deductible temporary difference → **deferred tax asset**

Assets (31 March, tax rate 19%): (a) machine, carrying (written-down) value €16,000, tax base €11,200 → temporary difference 4,800, taxable → deferred tax liability = 19% × 4,800 = €912. (b) trade receivables, carrying value €75,000, tax base €75,000 (the related revenue was already included in current taxable profit) → no temporary difference, no deferred tax. (c) interest receivable, carrying value €3,000, tax base €0 (not taxed until actually received) → temporary difference 3,000, taxable → deferred tax liability = 19% × 3,000 = €570.

Liabilities (31 March, tax rate 19%): (a) accrued expenses of €5,000, already deducted for both accounting and tax purposes → tax base = carrying amount = €5,000, no temporary difference. (b) further accrued expenses of €8,000, deducted for accounting but not yet deductible for tax until actually paid → tax base = €0, temporary difference 8,000, deductible → deferred tax asset = 19% × 8,000 = €1,520.

8. Journal Entries and Presentation

- Where temporary differences cause taxable profit to be lower than accounting profit in a period, tax expense for the period is increased by a transfer to the deferred tax account (creating or increasing a deferred tax liability).
- Where temporary differences cause taxable profit to be higher than accounting profit, tax expense is reduced by a transfer from the deferred tax account (using up a previously-recognised deferred tax asset, or building a deferred tax asset).
- The resulting deferred tax balance is presented as a **non-current** asset or liability in the financial statements.

9. Common Mistakes and Exam Traps

- Treating a permanent difference as if it creates deferred tax. Permanent differences never reverse and therefore never generate a deferred tax asset/liability. Only temporary (timing) differences do.
- Reversing the direction rule for deferred tax assets vs. liabilities. Remember the mechanism, not just the label: if the entity is currently paying *more* tax than its accounting profit would suggest (taxable profit > accounting profit now), it will pay *less* tax later, which is an asset. The reverse (paying less tax now, more later) is a liability.
- Applying the balance-sheet-approach direction rule backwards. A taxable temporary difference (carrying > tax base for an asset, or carrying < tax base for a liability) always gives a **liability**. A deductible temporary difference gives an **asset**.
- Using the accounting depreciation rate instead of the tax depreciation rate (or vice versa) when computing taxable profit. The whole point of the depreciation-based temporary difference is that the two rates differ, and both must be applied to their

correct base separately.

- Discounting deferred tax balances to present value. IAS12 requires deferred tax to be reported **undiscounted**, even when reversal is expected far in the future (Session 20 covers the practical consequence: this can significantly overstate the economic value of the asset/liability).

10. Must Know Absolutely

Must know:
• Tax expense = current tax + deferred tax. Current tax = taxable profit × statutory rate. Taxable profit = accounting profit adjusted for permanent **and** temporary differences
• Permanent differences: never reverse, no deferred tax (e.g. fines, tax-exempt interest)
• Temporary differences: reverse over time, create deferred tax (e.g. depreciation-rate gaps, accrual timing gaps)
• Deferred tax asset: taxable profit currently > accounting profit (paying more tax now, less later)
• Deferred tax liability: taxable profit currently < accounting profit (paying less tax now, more later)
• Balance-sheet approach: temporary difference = carrying amount − tax base. Asset with carrying>tax base or liability with carrying<tax base → liability. The opposite pairing → asset
• Deferred tax reported as non-current, always undiscounted, regardless of expected reversal horizon